WOLF QUANT MODEL

Investment committee briefing

A disciplined global-equity decision system with portfolio constraints, stress testing and governance.

DECISION: APPROVE A CONTROLLED LIVE PILOT

55,504	**60**	**80 / 100**	**0**
active equities	monthly decisions	governance score	hard breaches

As of 12 August 2026 | CONDITIONALLY_APPROVED | Research evidence

The decision in one page

Use the model as a governed process, not as an alpha promise.

Recommendation

Approve a small, human-supervised live pilot. Do not authorize unattended or full-scale deployment yet.

What still blocks full deployment

Alpha is not statistically established. Turnover consumes 2.35% per year, and tail-loss violations cluster over time.

Why it earns a pilot

- Repeatable screening across six equity regions
- Five years of dated proxy decisions with positive net results
- Hard portfolio limits held in every validated decision
- Auditable inputs, forecasts, trades and governance outputs

Decision area	Evidence	Action
Process	Strong	Use
Hard constraints	0 breaches	Use
Forecast calibration	Pass	Use
Risk backtest	Warning	Monitor
Net-of-cost edge	Unproven	Improve
Deployable alpha	Not established	Do not claim

Approval means: Pilot capital, pre-trade review, monthly risk reporting and explicit stop conditions. It does not mean automatic execution.

What the model actually does

A monthly decision pipeline with risk controls at the end.

1 OBSERVE

Prices, filings, macro and portfolio

2 FEATURE

Point-in-time quality, value and risk signals

3 FORECAST

3, 6, 9 and 12 month distributions

4 COMPARE

Portfolio-aware, clean-sheet and LLM branches

5 CONSTRAIN

CVaR, liquidity and concentration limits

6 GOVERN

Stress, validation and committee reporting

The output is a decision package

Ranked equities, target weights, trade direction, exposure limits, risk tests, stress results and an approval status.

DRL is a challenger, not the final authority

The current DRL proposal was rejected because turnover exceeded its hard limit. The CVaR baseline remained selected.

Human review stays between model recommendation and execution.

Evidence breadth and provenance

The full universe is broad; the dated validation set is narrower.

112,570
security master

55,504
active equities

1,408
walk-forward eligible

156,764
historical forecasts

Region	Active	Master	Active share
DACH	21,603	38,792	55.7%
EU ex-DACH	2,436	5,088	47.9%
Hong Kong	3,504	4,130	84.8%
Mainland China	5,103	5,373	95.0%
UK	3,932	6,664	59.0%
US	18,926	52,523	36.0%

Evidence	Rows	Meaning
Prices	3,307,843	Observed bars
Statements	7,632	Reported annuals
Aligned outcomes	156,312	99.7% matched
Risk observations	1,141	Daily checks
Chronology breaches	0	Pass
Hard breaches	0	Pass

Important boundary: Historical filing dates are conservatively reconstructed where observed timestamps are unavailable. This caps approval at conditional, even though chronology checks pass.

Equities to establish in the target portfolio

Model trade direction versus current holdings; weights are targets.

19
buy actions

1
reduce actions

5.0%
target per name

20
target holdings

6
equity regions

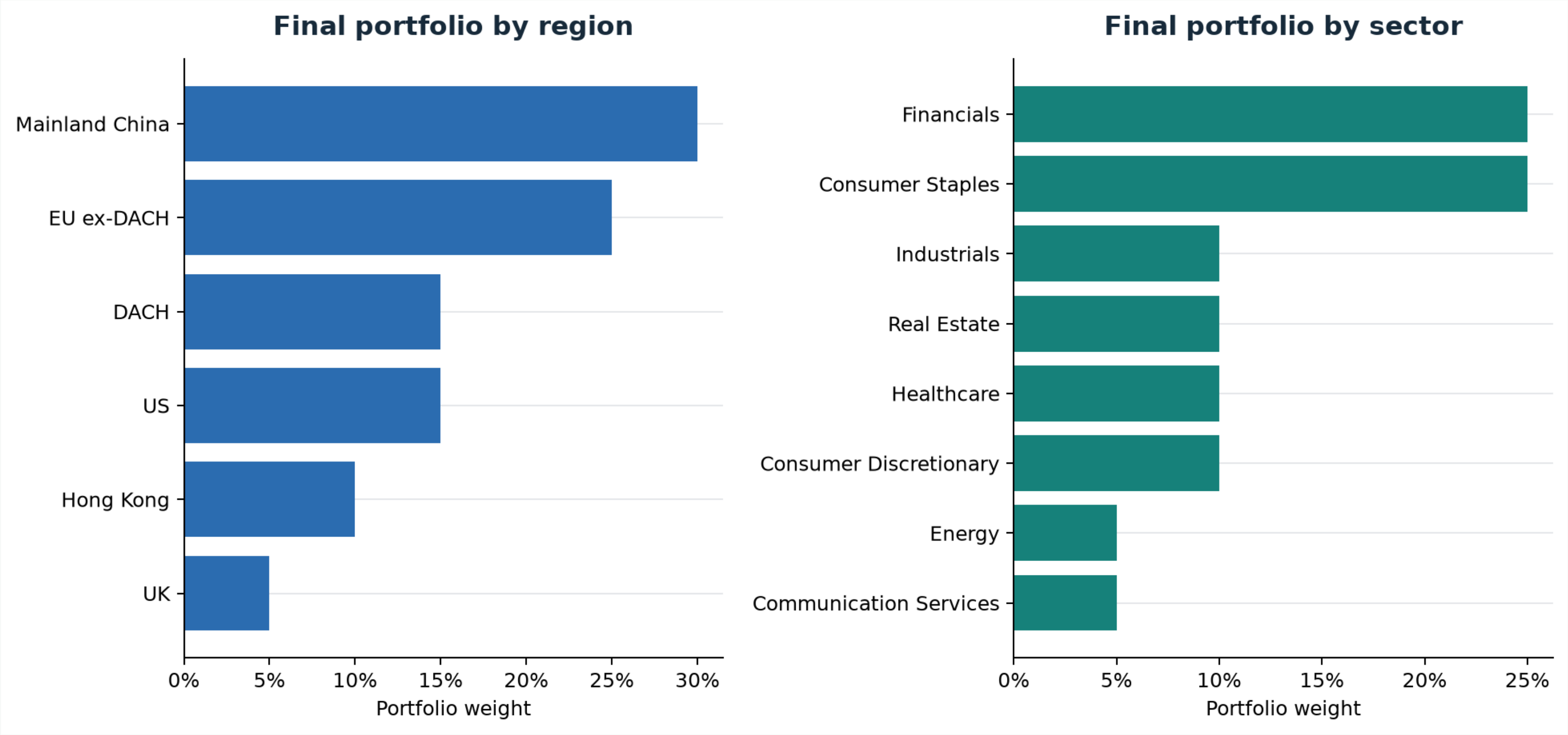
Ticker	Company	Region	Action	Target
000333.SHE	Midea Group Co Ltd	Mainland China	Buy	5.0%
000538.SHE	Yunnan Baiyao Group Co Ltd	Mainland China	Buy	5.0%
0823.HK	Link Real Estate Investment T	Hong Kong	Buy	5.0%
3988.HK	Bank of China Ltd H	Hong Kong	Buy	5.0%
600018.SHG	Shanghai International Port G	Mainland China	Buy	5.0%
600036.SHG	China Merchants Bank Co Ltd	Mainland China	Buy	5.0%
601816.SHG	Beijing-Shanghai High Speed R	Mainland China	Buy	5.0%
601818.SHG	China Everbright Bank Co Ltd	Mainland China	Buy	5.0%
AD.AS	Koninklijke Ahold Delhaize NV	EU ex-DACH	Buy	5.0%
ALV.XETRA	Allianz SE VNA O.N.	DACH	Buy	5.0%

Ticker	Company	Region	Action	Target
CS.PA	AXA SA	EU ex-DACH	Buy	5.0%
ESSITY-B.ST	Essity AB (publ)	EU ex-DACH	Buy	5.0%
HEN3.XETRA	Henkel AG & Co. KGaA vz. (Pre	DACH	Buy	5.0%
LI.PA	Klepierre SA	EU ex-DACH	Buy	5.0%
MCD.US	McDonalds Corporation	US	Buy	5.0%
ORA.PA	Orange S.A.	EU ex-DACH	Buy	5.0%
PG.US	Procter & Gamble Company	US	Buy	5.0%
SBRY.LSE	J Sainsbury PLC	UK	Buy	5.0%
SHEL.US	Shell PLC ADR	US	Buy	5.0%
NOVN.SW	Novartis AG	DACH	Reduce	5.0%

Execution note: recalculate orders using live NAV, FX, liquidity and prices. Manual review remains mandatory.

A deliberately diversified target

The portfolio uses equal name weights and explicit exposure caps.



Construction rules

- 20 holdings at 5% each
- No sector above 25%
- No country above 30%
- No region or currency above 40%
- One listing per issuer
- No quarantined price history

Largest allocations

Mainland China 30%; EU ex-DACH 25%; Financials and Consumer Staples 25% each.

Why the CVaR portfolio is the baseline

It balances expected return, downside loss and diversification.

Portfolio	Volatility	CVaR 5%	Yield	Hard breaches
Equal weight	14.7%	-27.4%	3.2%	0
Score weighted	12.5%	-9.5%	4.4%	0
Risk parity	10.9%	-9.8%	3.5%	0
Mean variance	11.3%	-5.6%	4.2%	0
CVaR constrained	11.1%	-5.1%	4.3%	0
Dividend income	13.6%	-13.5%	5.0%	0
Regime aware	13.0%	-11.3%	4.7%	0

Selected: CVaR constrained

The baseline keeps the forecast return target while reducing the average loss in the worst 5% of modeled outcomes to 5.10%.

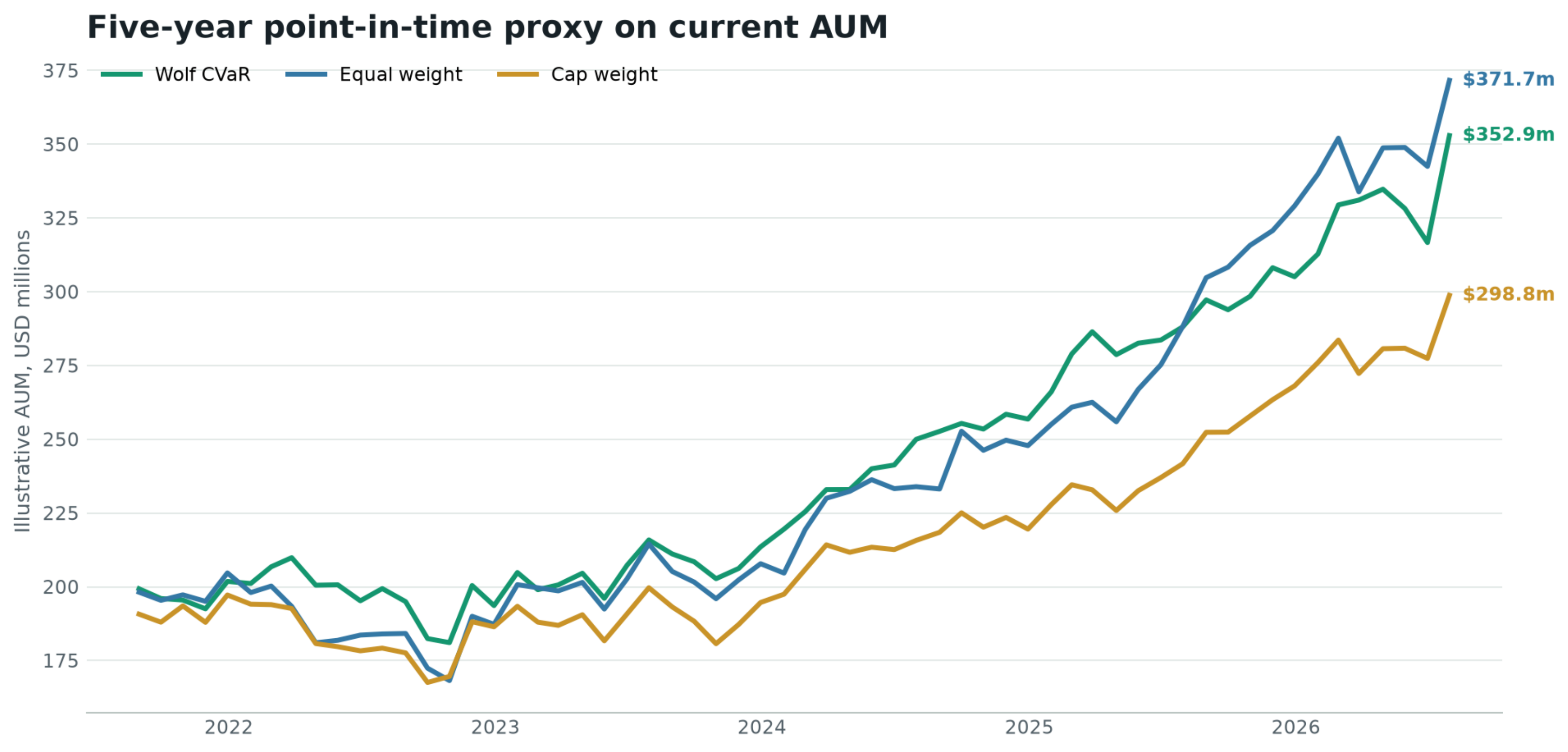
Why this matters

- Focuses on severe downside, not only average volatility
- Maintains 20 effective holdings
- Passes every hard portfolio constraint
- Produces the final 20-name equal-weight target

Interpret carefully: Expected-return inputs are model forecasts, not guaranteed market returns. Live sizing still depends on trading capacity.

Five-year point-in-time proxy

The relevant model evidence uses dated monthly decisions.



Illustrative current-AUM result

$186.1m grows to $352.9m; net PnL is $166.9m after trading costs and before the bank fee.

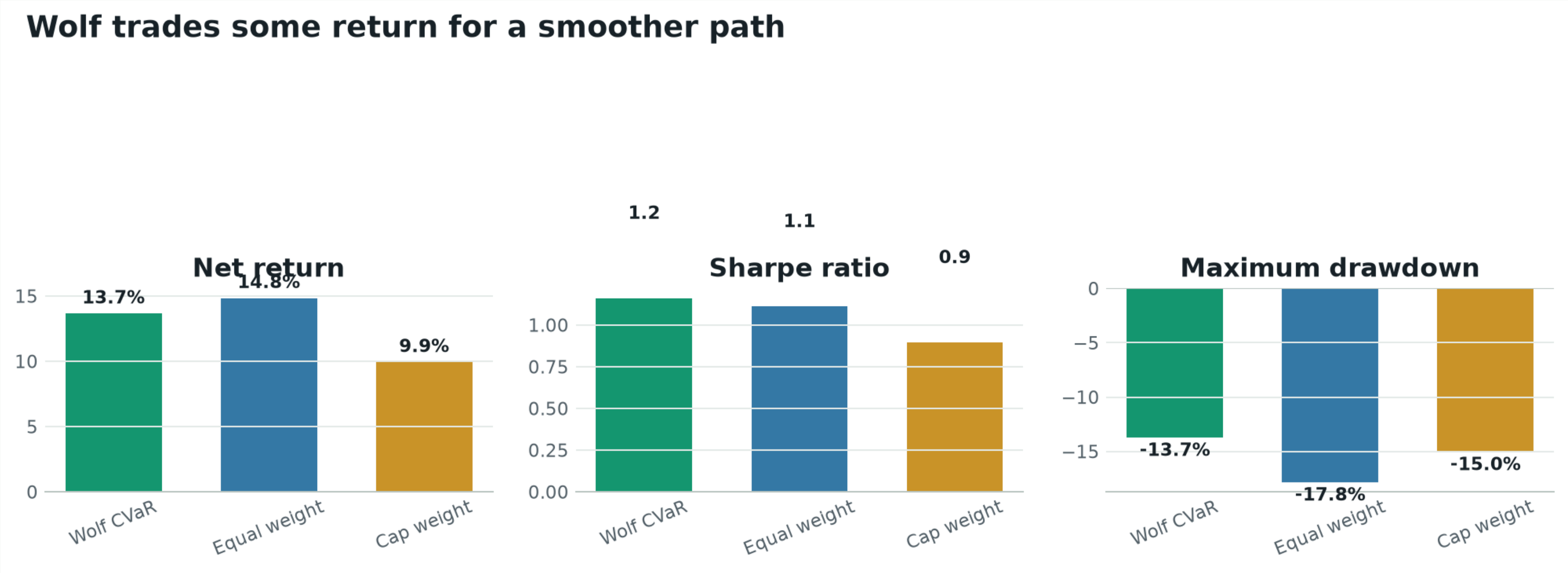
- Net annualised return: 13.7%
- Sharpe ratio: 1.16
- Maximum drawdown: -13.7%
- Positive months: 63.3%

Not a forecast

This scales the realised proxy path to current AUM. The 25 bp annual bank fee is modeled separately in the long replay.

What beat what over 60 months

Wolf delivered the best risk-adjusted result, not the best return.



The useful result

Wolf Sharpe was 1.16 and drawdown was 13.72%, better than both simple controls on these risk measures.

The honest result

Equal weight returned 14.84% versus Wolf at 13.66%. The model did not beat the simplest control on net return.

Investment interpretation

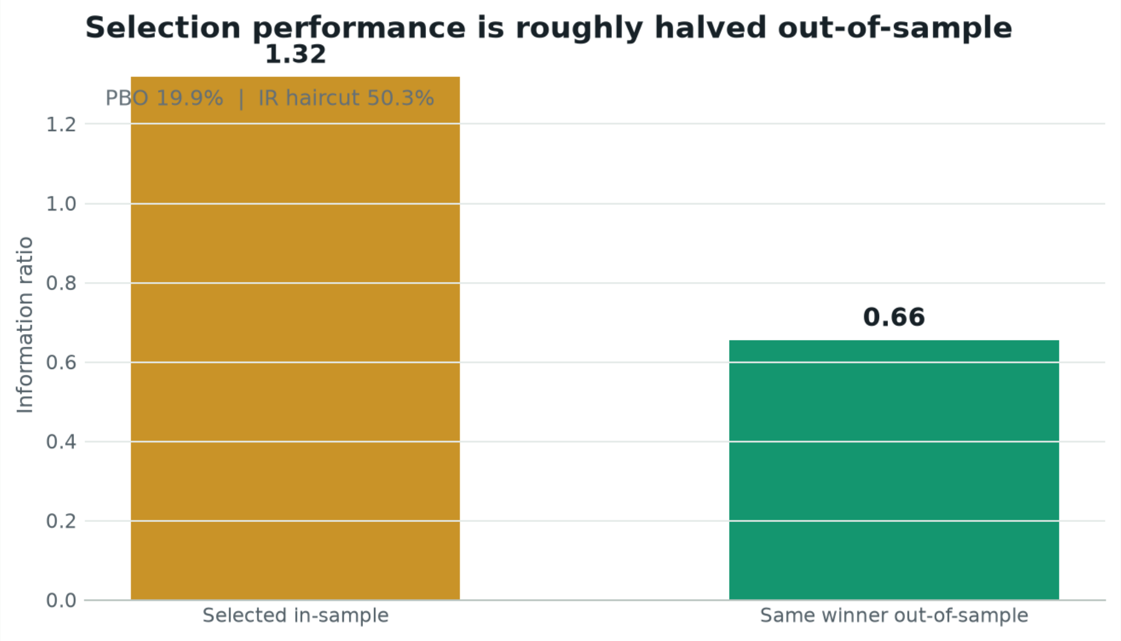
The current case is risk control and decision discipline. Incremental stock-selection alpha remains unproven.

Highest return: Equal weight | Highest Sharpe: Wolf | Smallest drawdown: Wolf

Alpha and overfitting: the hard truth

The retrospective strategies are interesting; deployable alpha is not established.

Benchmark	Active return	Reg. alpha	p-value	Verdict
Cap weight	3.43%	4.40%	0.108	NOT SIGNIFICANT
Equal weight	-1.24%	3.29%	0.312	NOT SIGNIFICANT



What the 50.3% fall means

When history selects the apparent winner, its information ratio typically drops from 1.32 in-sample to 0.66 out-of-sample. About half the apparent edge does not survive selection.

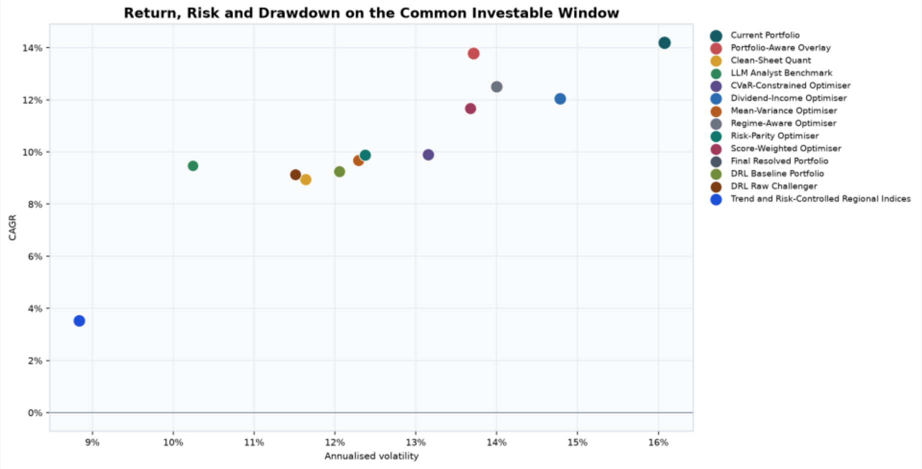
Decision

Use Wolf for disciplined ranking and risk control. Do not market it as a proven alpha engine until native live evidence clears the benchmark and cost hurdles.

The 1997 replay is a stress map

It shows how today's holdings behaved through history, not what the model knew then.

Portfolio	Start	CAGR	Sharpe	Max DD	End
Current Portfolio	$186.1m	14.1%	0.75	-42.6%	$9.0bn
Portfolio-Aware Overlay	$186.1m	13.0%	0.77	-41.2%	$6.8bn
Risk-Parity Optimiser	$100.0k	10.9%	0.77	-30.6%	$2.1m
LLM Analyst Benchmark	$100.0k	9.5%	0.81	-20.9%	$1.5m
Final Resolved Portfolio	$186.1m	9.1%	0.65	-28.4%	$2.4bn



What looks strongest

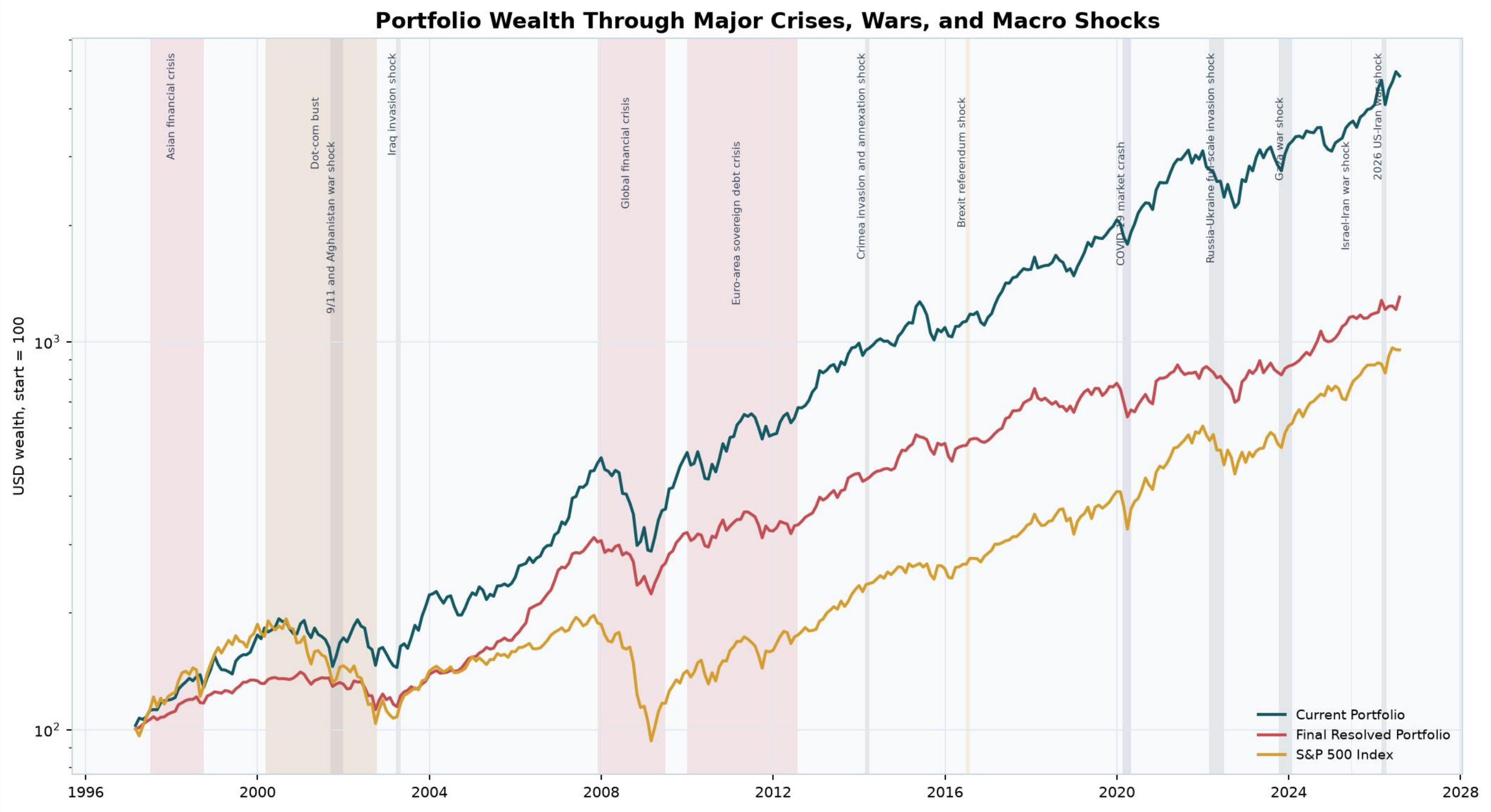
Current Portfolio PnL: $8.8bn. Final Resolved PnL: $2.2bn. Risk Parity led the independent optimisers.

Why it cannot prove selection skill

The securities were chosen with current information and then replayed backward. Survivorship and selection look-ahead make the long PnL unsuitable as a live promise.

Performance through major market shocks

Event windows are descriptive overlaps, not causal estimates.



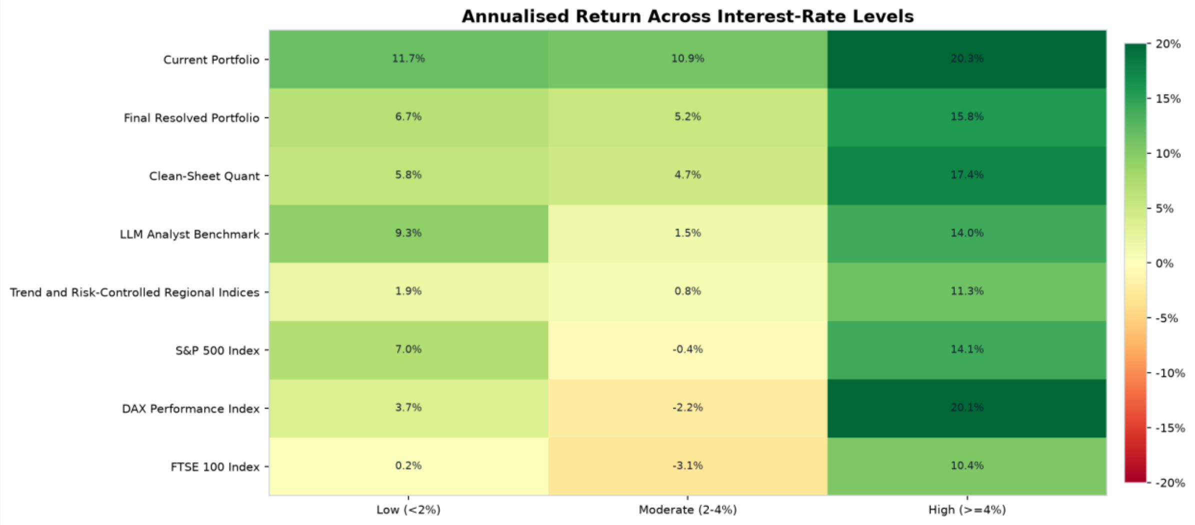
COVID-19: -12.58% return; -15.19% event drawdown

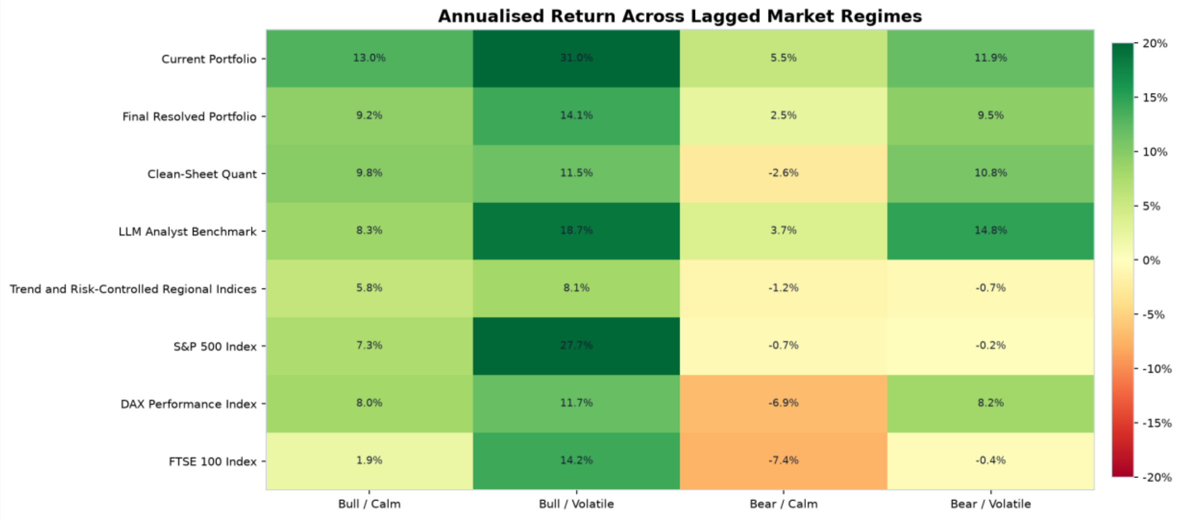
2008 crisis: -27.12% event drawdown

2026 Iran war: +3.57% return; -5.27% drawdown

Interest-rate and market-regime context

Conditional groupings show where the final portfolio was most comfortable.



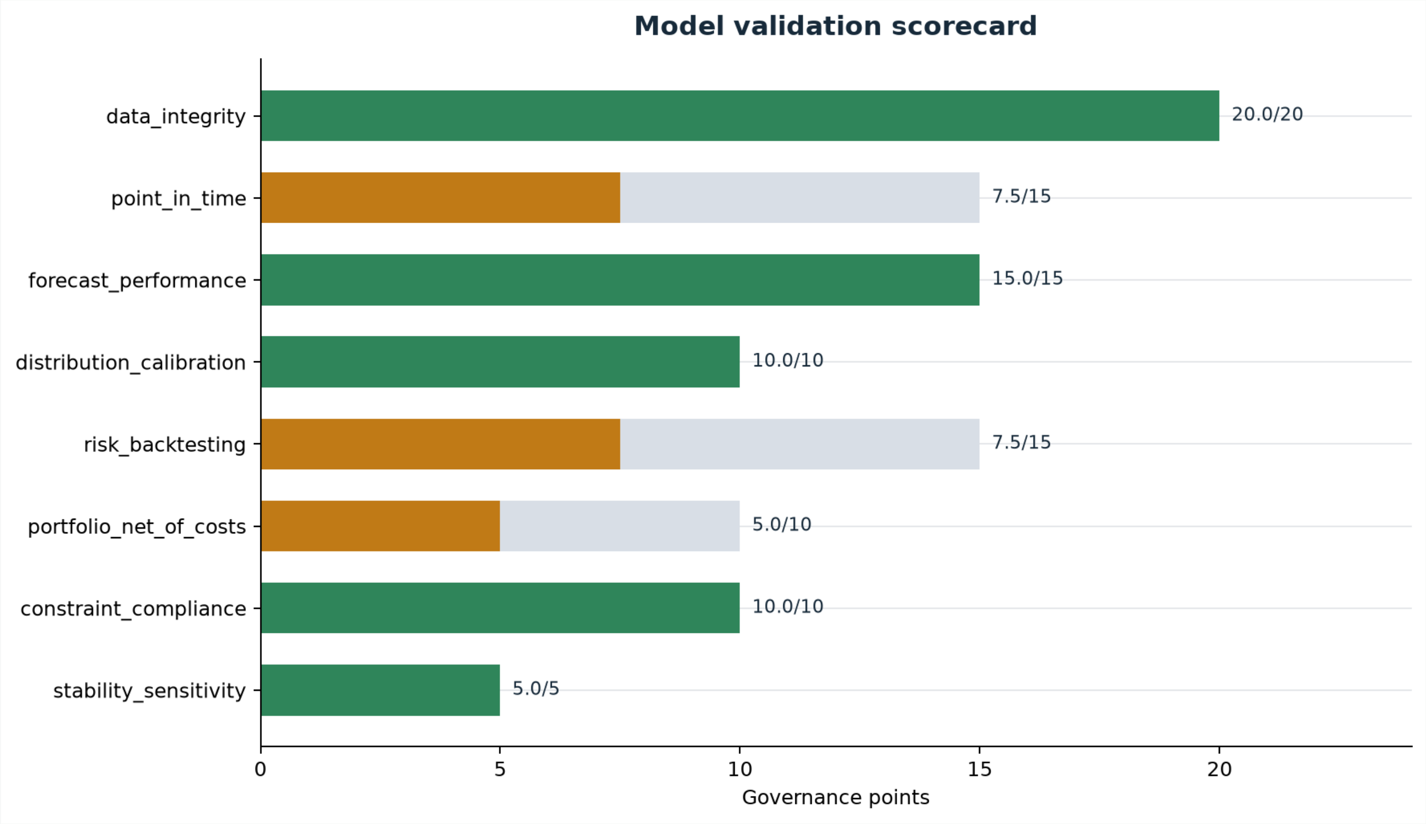


Rate reading: Final Portfolio was strongest in high-rate months (15.77%) and when rates were rising (13.03%).

Regime reading: Its strongest market group was Bull / Volatile (14.09%). Expansion months returned 9.91% annualised.

Governance is conditional, not failed

The model passed core controls but still carries three warning areas.



5 components passed

Data integrity, forecasts, distributions, constraints and stability met their configured gates.

3 components warned

Point-in-time evidence is reconstructed; risk exceptions cluster; and costs consume too much return.

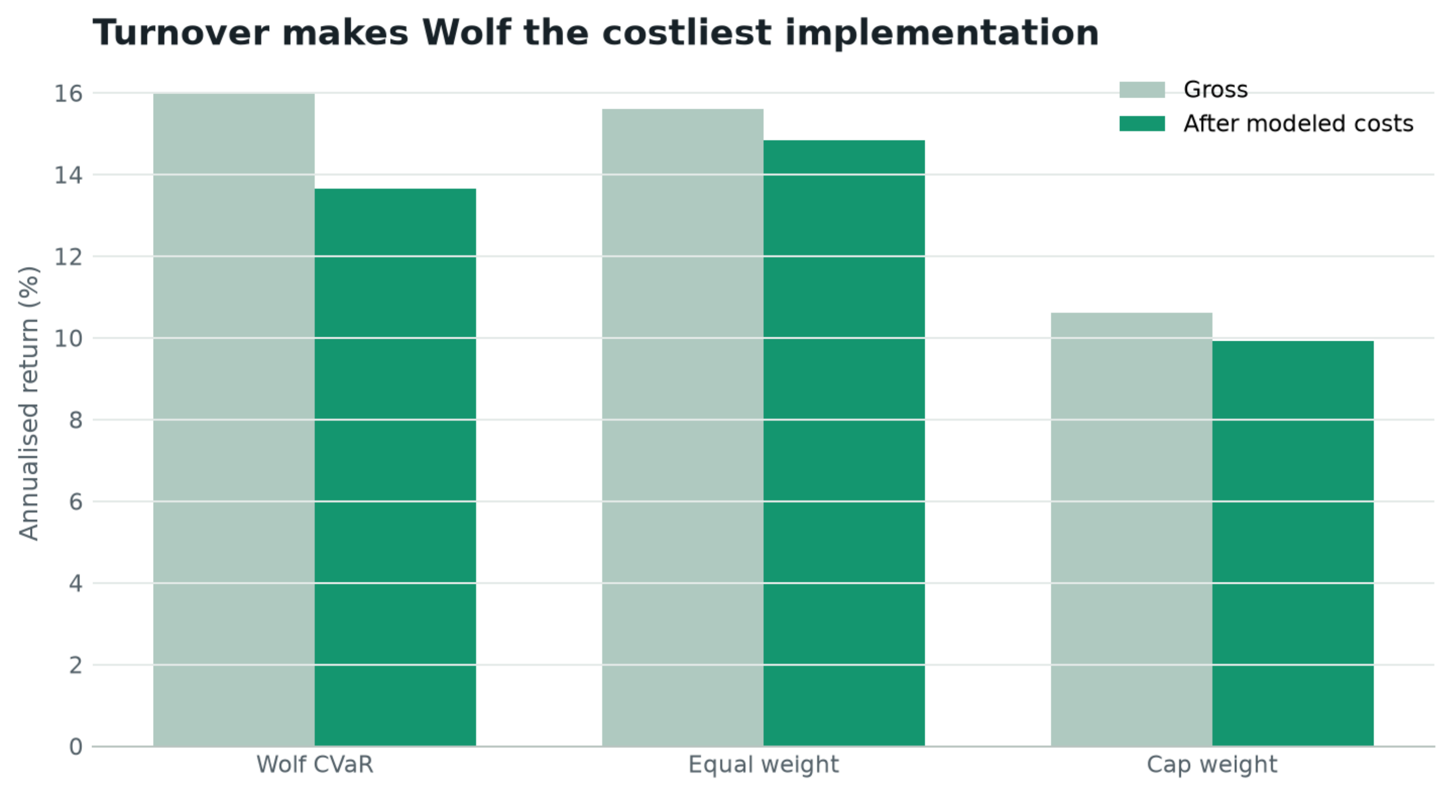
0 critical failures

No leakage or hard-constraint failure was found. The warning status limits use but does not invalidate the entire model.

Overall score 80/100 | Conditional approval | Human supervision required

Costs are the clearest improvement opportunity

The model has enough gross return; implementation is consuming too much of it.



2.35%

annualised model cost drag

2.11x

annualised turnover

$465k

first annual bank fee at reference AUM

DRL stayed out

The challenger breached its turnover hard limit, so its weight was set to zero and the baseline optimiser remained final.

Priority fixes: no-trade bands, staged transitions, turnover penalties and pre-trade cost quotes.

A controlled path to live use

Scale only when operations, costs and evidence earn it.

0 SHADOW

4 weeks

Generate orders, do not trade. Validate data, NAV, FX and fills.

1 PILOT

6 to 12 months

Use limited capital with human approval and staged execution.

2 SCALE

Evidence gated

Increase capital only after cost, risk and benchmark hurdles hold.

Proposed pilot gates

- Zero hard constraint or data-lineage breaches
- Pre-trade cost estimate approved for every rebalance
- Annualised turnover below 1.0x during the pilot
- Net performance tracked against equal and cap weight
- Monthly model-risk and investment-committee review

Immediate stop conditions

Stale critical data, any hard breach, unexplained risk exception clustering, failed reconciliation or trading costs above the approved budget.

Alpha gate: Full-scale alpha claims require native live evidence and at least 60 months under the existing governance policy.

How to read the results

Plain-language definitions for the investment committee.

Measure	Simple meaning
CAGR	Average compounded annual growth.
Sharpe	Return earned per unit of overall variability.
Sortino	Return earned per unit of harmful downside variation.
Max drawdown	Largest peak-to-trough loss.
CVaR	Average loss among the worst modeled outcomes.
Information ratio	Active return per unit of benchmark-relative risk.
p-value	How surprising the result is if true alpha were zero.
PBO	Chance that selecting the backtest winner overfits history.

Three evidence layers

1. Dated 60-month proxy: primary model evidence.
2. 1997 replay: stress and exposure history.
3. Native live record: required before full alpha approval.

Higher is not always better

A portfolio can have a higher return but a deeper drawdown, more turnover or weaker statistical evidence. The committee should judge the package, not one headline number.

Where to verify

The GitHub release contains the 42-page PDF, plain-language interpretation, CSV evidence, plots, manifests and checksums.

THE RECOMMENDATION

Approve a controlled live pilot.

Wolf is ready to improve how decisions are made: broad screening, explicit risk, consistent portfolio construction and an audit trail. It is not yet ready to promise alpha.

USE NOW

Ranking, diversification, risk and governance

PROVE LIVE

Net benchmark edge and tail-risk independence

FIX NEXT

Turnover, trading costs and data vintages

Investment edge today: a better-controlled process. Investment edge tomorrow: only what live evidence proves.